BUSINESS FINANCE

Complete Study Notes

B.B.A. Programme — Chhatrapati Shahu Ji Maharaj University (CSJMU), Kanpur

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(A separate, quick-reference Formulae Sheet accompanies these notes)

UNIT I : INTRODUCTION TO FINANCE

1.1 Meaning of Business Finance

Business finance refers to the activity of acquiring funds for a business and using those funds efficiently to achieve the objectives of the enterprise. It deals with procurement of funds and their effective utilisation with a view to maximising the value of the firm.

1.2 Finance Functions

The finance function of a firm involves three broad decisions, often called the three decisions of financial management:

- Investment Decision (Capital Budgeting Decision) — deciding where to invest funds, i.e. selection of long-term assets/projects that will yield returns over time.
- Financing Decision — deciding how to raise the required funds, i.e. the mix of debt and equity (capital structure) to be used.
- Dividend Decision — deciding how much of the profit earned should be distributed to shareholders as dividend and how much should be retained for reinvestment.

A fourth, supporting function is Liquidity / Working Capital Decision — ensuring the firm has sufficient cash to meet its short-term obligations without holding excessive idle funds.

Other important finance functions

- Estimating the requirement of funds (financial forecasting/planning).
- Determining the sources of funds (long-term and short-term).
- Allocation and utilisation of funds in the most efficient manner.
- Financial control — analysing financial performance through ratios, budgets, and audits.
- Profit planning and management of surplus.

1.3 Objectives of Financial Management

Broadly, two objectives have been suggested for financial decision-making:

(A) Profit Maximisation

Under this approach, the objective of financial management is to maximise the profits of the firm. The rationale is that profit is a test of economic efficiency and provides the yardstick by which economic performance can be judged.

Arguments in favour of profit maximisation

- It leads to efficient allocation of resources, since resources flow towards the most profitable ventures.
- Profit is a straightforward criterion — easy to measure and understand.

- It ensures maximum welfare of shareholders and society through better goods and services and higher returns to investors.

Criticisms of profit maximisation as an objective

- Ambiguous — does not specify whether it means total profit, rate of profit, EPS, or long-run vs short-run profit.
- Ignores the timing of returns — does not distinguish between returns received in year 1 and year 10 (ignores time value of money).
- Ignores risk — a firm may maximise profit by taking on very risky projects, which is not necessarily good for the firm.
- Ignores the quality/certainty of expected benefits.

(B) Shareholders' Wealth Maximisation (SWM)

Wealth maximisation (also called Value Maximisation) is now the widely accepted objective of financial management. It states that the goal of the firm is to maximise the market value of the shares of the firm, i.e. to maximise shareholders' wealth.

Shareholders' Wealth = Number of Shares Held × Market Price per Share

Wealth maximisation is superior to profit maximisation because it takes into account:

- Time value of money — future cash flows are discounted to present value before comparison.
- Quality/risk of benefits — riskier cash flows are discounted at a higher rate; the concept of risk-return trade-off is built in.
- The magnitude and timing of benefits associated with a financial decision.

1.4 Profit Maximisation vs. Shareholders' Wealth Maximisation

Basis	Profit Maximisation	Wealth Maximisation
Focus	Short-term earnings of the firm	Long-term value/market price of the share
Time Value of Money	Ignored	Explicitly considered (discounting)
Risk	Ignored	Explicitly considered
Precision	Vague / ambiguous term	Precise and operationally definable
Whose interest served	May favour management/short-term gain	Serves long-term interest of shareholders
Suitability	Narrow objective	Widely accepted as the correct goal

Note: *For exams, always conclude that Wealth Maximisation is the appropriate and universally accepted goal of financial management because it is precise, considers time value of money and risk, and reflects the true economic value of the firm.*

UNIT II : TIME VALUE OF MONEY (TVM)

2.1 Concept

The Time Value of Money principle states that a rupee received today is worth more than a rupee to be received in the future. This is because money available today can be invested to earn a return (interest), and also because of inflation and risk associated with future receipts.

Reasons for time value of money:

- Opportunity to earn interest/return by investing money now.
- Risk and uncertainty attached to future cash flows.
- Inflation, which erodes purchasing power over time.
- Individuals generally prefer current consumption to future consumption (preference for liquidity).

2.2 Compound Interest and Terminal (Future) Value

Compounding is the process of finding the future value of a present sum, i.e. determining how much a sum invested today will grow to after a certain period at a given rate of interest, when interest itself earns interest.

$$FV = PV \times (1 + i)^n$$

Where: FV = Future (Terminal) Value, PV = Present value (initial investment), i = rate of interest per period, n = number of periods.

The factor $(1 + i)^n$ is called the Compound Value Factor (CVF) or Future Value Interest Factor (FVIF).

Example

10,000 is invested for 3 years at 10% p.a. compounded annually. Find the terminal value.

$FV = 10{,}000 \times (1.10)^3 = 10{,}000 \times 1.331 = \quad 13{,}310$

Compounding more than once a year

$$FV = PV \times (1 + i/m)^{(n \times m)}$$

Where m = number of times compounding is done per year (e.g. m = 2 for half-yearly, m = 4 for quarterly, m = 12 for monthly).

2.3 Present Value (PV)

Discounting is the reverse of compounding — it is the process of determining the present worth of a future sum of money, given a required rate of return (the discount rate).

$$PV = FV / (1 + i)^n = FV \times [1 / (1 + i)^n]$$

The factor $1/(1+i)^n$ is called the Present Value Factor (PVF) or Discounting Factor.

Example
What is the present value of 13,310 receivable after 3 years, if the discount rate is 10%?
PV = $13,310 / (1.10)^3 = 13,310 / 1.331 =$ 10,000

2.4 Relationship between Present Value and Discount Rate

Present value and the discount rate are inversely related — as the discount rate (required rate of return) increases, the present value of a given future sum decreases, and vice versa. This is because a higher discount rate means investors demand a greater compensation for waiting, so future money is 'penalised' more heavily when brought back to today's value.

- Higher discount rate → Lower present value (steeper discounting).
- Lower discount rate → Higher present value.
- The relationship is not linear — PV falls at a decreasing rate as the discount rate rises, because of the compounding effect embedded in $(1+i)^n$.
- The relationship is also affected by time: the farther in the future the cash flow, the greater the impact of a change in the discount rate on its present value.

2.5 Annuities

An annuity is a series of periodic cash flows (receipts or payments) of equal amount occurring at regular intervals for a specified number of periods.

(a) Future Value of an Annuity (FVA)

$$FVA = A \times [\,((1 + i)^n - 1) / i\,]$$

Where A = amount of each periodic instalment. The bracketed term is called the Future Value Interest Factor for an Annuity (FVIFA).

Example
5,000 is deposited at the end of each year for 4 years at 8% p.a. Find the future value.
FVA = $5,000 \times [((1.08)^4 - 1)/0.08] = 5,000 \times 4.5061 =$ 22,530 (approx.)

(b) Present Value of an Annuity (PVA)

$$PVA = A \times [\,(1 - (1 + i)^{-n}) / i\,]$$

The bracketed term is called the Present Value Interest Factor for an Annuity (PVIFA).

Example
Find the present value of 5,000 receivable at the end of each year for 4 years at a discount rate of 8%.
PV = $5,000 \times [(1 - (1.08)^{-4})/0.08] = 5,000 \times 3.3121 =$ 16,560 (approx.)

(c) Perpetuity

A perpetuity is an annuity that continues forever, i.e. an unending series of equal periodic cash flows.

$$PV \text{ of Perpetuity} = A / i$$

(d) Annuity Due

When the periodic payments occur at the beginning of each period (instead of the end), the annuity is called an Annuity Due. Its value is obtained by multiplying the ordinary annuity value by (1 + i).

$$FVA\ (due) = FVA\ (ordinary) \times (1 + i) \quad | \quad PVA\ (due) = PVA\ (ordinary) \times (1 + i)$$

2.6 Amortising a Loan

Loan amortisation refers to the process of determining the periodic instalment (equated instalment) that will repay (i.e. pay off) a loan, comprising both principal and interest, over a specified period.

Since the loan amount today equals the present value of all future instalments, the equated periodic instalment (A) is found using the Present Value of Annuity formula:

$$Loan\ Amount = A \times [\ (1 - (1 + i)^{-n}) / i\ ] \qquad A = Loan\ Amount / PVIFA(i, n)$$

Example

A loan of 1,00,000 is to be repaid in 5 equal annual instalments at 10% p.a. Find the annual instalment.

PVIFA(10%, 5) = 3.7908

A = 1,00,000 / 3.7908 = 26,380 (approx.) per year

Loan Amortisation Schedule: Each instalment is split into an interest component (computed on the outstanding balance at the start of the period) and a principal-repayment component (the balance of the instalment). The outstanding loan balance declines each year until it reaches zero at the end of the loan term.

Year	Opening Balance	Instalment	Interest (10%)	Principal Repaid	Closing Balance
1	1,00,000	26,380	10,000	16,380	83,620
2	83,620	26,380	8,362	18,018	65,602
…	…	…	…	…	…

Note: *Interest for a year = Opening Balance × rate of interest. Principal repaid = Instalment − Interest. Closing balance = Opening balance − Principal repaid.*

UNIT III : VALUATION OF BONDS AND STOCKS

3.1 Valuation of Bonds

A bond (or debenture) is a long-term debt instrument that promises to pay the holder a fixed periodic interest (coupon) and to repay the face value (par value) on maturity. The value of a bond is the present value of all cash flows (interest + maturity value) the investor expects to receive, discounted at the required rate of return (yield).

(a) Bond with periodic interest (redeemable / term bond)

$$V_o = \Sigma \left[I / (1+kd)^t \right] \ (t = 1 \text{ to } n) \ + \ F / (1+kd)^n$$

Or, using the annuity formula:

$$V_o = I \times PVIFA(kd, n) + F \times PVIF(kd, n)$$

Where: V_o = current value of the bond, I = annual interest (coupon rate × face value), F = face value/redemption value, kd = required rate of return (market discount rate/yield), n = number of years to maturity.

Example

A bond of face value 1,000 carries a coupon rate of 10% payable annually and matures after 3 years. If the required rate of return is 12%, find the value of the bond.

Annual interest I = 10% × 1,000 = 100

V_o = 100 × PVIFA(12%,3) + 1,000 × PVIF(12%,3)

V_o = 100 × 2.402 + 1,000 × 0.7118 = 240.2 + 711.8 = 952 (approx.)

(b) Bond redeemable at par with semi-annual interest

$$V_o = (I/2) \times PVIFA(kd/2, 2n) + F \times PVIF(kd/2, 2n)$$

(c) Perpetual Bond (irredeemable bond)

A bond that never matures and pays interest forever is valued as a perpetuity:

$$V_o = I / kd$$

(d) Zero-Coupon Bond

A bond that pays no periodic interest but is issued at a discount and redeemed at face value:

$$V_o = F / (1+kd)^n$$

Relationship between Bond Value, Coupon Rate and Market Yield

- If Coupon Rate = Market Yield (kd) → Bond sells at Par value.
- If Coupon Rate > Market Yield (kd) → Bond sells at a Premium (above face value).
- If Coupon Rate < Market Yield (kd) → Bond sells at a Discount (below face value).
- Bond value and market interest rate (yield) are inversely related — as required yield rises, bond value falls, and vice versa.

3.2 Valuation of Stocks (Equity Shares)

The value of an equity share, like any other asset, is the present value of the future cash flows (dividends and/or sale proceeds) the investor expects to receive from it.

(a) Single Holding Period

$$P_o = D_1/(1+ke) + P_1/(1+ke)$$

Where P_o = current price, D_1 = dividend expected at the end of year 1, P_1 = expected selling price at end of year 1, ke = required rate of return on equity.

(b) Multi-period / Constant Dividend (no growth)

$$P_o = D / ke$$

Used when the firm is expected to pay a constant dividend forever (a perpetuity of dividends).

3.3 Calculating Return from Stock Investment

The total return earned by an investor from holding a share has two components — the dividend received and the capital gain (or loss) from the change in price:

$$\text{Total Return} = \text{Dividend Yield} + \text{Capital Gains Yield}$$

$$\text{Rate of Return (ke)} = [D_1 + (P_1 - P_o)] / P_o$$

Where: D_1 = dividend received during the period, P_o = purchase (beginning) price, P_1 = selling (ending) price.

Example

A share was purchased for 100, a dividend of 8 was received during the year, and the share was sold for 112 at year-end. Find the rate of return.

Return = [8 + (112 − 100)] / 100 = [8 + 12]/100 = 20/100 = 20%

3.4 Perpetual (Constant) Dividend Growth Model — Gordon Growth Model

This model assumes that dividends will grow at a constant rate 'g' forever. It is one of the most important and frequently tested valuation models.

$$P_o = D_1 / (ke - g) \quad \text{where} \quad D_1 = D_o (1 + g)$$

Where: P_o = current market price of the share, D_1 = expected dividend at the end of year 1, D_o = dividend just paid (current year), ke = required rate of return of shareholders (cost of equity), g = constant annual growth rate of dividends (g < ke for the model to be valid).

Example

A company has just paid a dividend of 4 per share (D_o). Dividends are expected to grow at 5% p.a. forever. If shareholders require a return of 15%, find the value of the share.

$D_1 = D_o(1+g) = 4 \times 1.05 = 4.20$

$P_o = D_1 / (ke - g) = 4.20 / (0.15 - 0.05) = 4.20 / 0.10 = 42$

Rearranged form — to find cost of equity (ke)

$$ke = (D_1 / P_o) + g$$

Note: *The Gordon Growth Model requires ke > g; if growth exceeds the required rate of return, the model gives a meaningless (negative) value and cannot be applied.*

UNIT IV : CAPITAL BUDGETING DECISIONS

4.1 Nature of Capital Budgeting Decisions

Capital budgeting is the process of evaluating and selecting long-term investment proposals that are consistent with the firm's objective of maximising shareholders' wealth. It involves committing funds now in anticipation of returns to be received in the future.

Features / Nature

- Involves long-term commitment of funds, usually irreversible or reversible only at a significant loss.
- Substantial funds are involved, and the decisions affect the future profitability and competitive standing of the firm.
- Future benefits are uncertain and spread over several years — involves risk.
- Decisions have a long-term and strategic impact on the growth of the firm.

Importance of Capital Budgeting

- Large investment of funds — errors are costly and hard to reverse.
- Long-term effect on profitability and risk complexion of the firm.
- Irreversibility — once committed, it is difficult to withdraw without heavy losses.
- Complex decision-making, involving forecasting of cash flows far into the future.

Capital Budgeting Process (steps)

- Identification/generation of investment proposals.
- Estimation of cash flows (initial outlay, annual net cash flows, terminal cash flow).
- Evaluation of proposals using appraisal techniques (Payback, NPV, IRR, ARR).
- Selection of the project based on a chosen criterion.
- Implementation and periodic review (post-audit).

4.2 Techniques of Capital Budgeting — Non-Discounting Methods

(A) Payback Period Method

The payback period is the length of time required to recover the initial cash outlay of a project from its net cash inflows.

(i) When annual cash inflows are equal:

$$\textit{Payback Period} = \textit{Initial Investment} / \textit{Annual Cash Inflow}$$

(ii) When annual cash inflows are unequal:

Cumulative cash inflows are calculated year by year until they equal the initial investment:

$$Payback\ Period = E + (B / C)$$

Where E = number of years immediately before full recovery, B = balance amount still to be recovered, C = cash inflow during the year in which recovery is completed.

Decision Rule: Accept the project if its payback period is less than the maximum/standard payback period set by management; among mutually exclusive projects, prefer the one with the shorter payback period.

Merits

- Simple to understand and calculate.
- Emphasises liquidity and is useful when funds are scarce or risk of obsolescence is high.

Demerits

- Ignores the time value of money (in its simple form).
- Ignores cash flows received after the payback period.
- Does not measure profitability, only the speed of recovery.

(B) Accounting Rate of Return (ARR) / Average Rate of Return

$$ARR = (Average\ Annual\ Profit\ after\ Tax / Average\ Investment) \times 100$$

Average Investment = (Initial Investment − Salvage Value)/2 + Salvage Value (or simply Initial Investment/2, if salvage value is nil).

Decision Rule: Accept the project if its ARR is greater than a minimum acceptable/cut-off rate; among alternatives, select the project with the highest ARR.

Merits

- Based on accounting profits, easy to understand, uses readily available data.
- Considers the entire life and total earnings of the project.

Demerits

- Ignores time value of money.
- Based on accounting profit rather than cash flow.
- Different definitions of 'investment' and 'profit' can give different results.

4.3 Techniques of Capital Budgeting — Discounted Cash Flow (DCF) Methods

(A) Net Present Value (NPV) Method

NPV is the sum of the present values of all cash inflows minus the present value of cash outflows (initial investment), discounted at the firm's cost of capital (required rate of return).

$$NPV = \Sigma\ [\ CFt / (1+k)^t\ ]\ \ (t = 1\ to\ n)\ -\ Initial\ Investment$$

Where CFt = net cash inflow in period t, k = discount rate (cost of capital), n = life of the project.

Decision Rule: Accept the project if NPV > 0 (positive); reject if NPV < 0. Among mutually exclusive projects, select the one with the highest positive NPV.

Example

A project requires an initial investment of 1,00,000 and is expected to generate cash inflows of 40,000 p.a. for 4 years. Cost of capital = 10%.

PV of inflows = 40,000 × PVIFA(10%,4) = 40,000 × 3.1699 = 1,26,796

NPV = 1,26,796 − 1,00,000 = 26,796 (positive → Accept)

Merits

- Considers time value of money and the entire stream of cash flows.
- Consistent with the objective of shareholder wealth maximisation (NPV represents addition to shareholders' wealth).

Demerits

- Requires an accurate estimate of the discount rate (cost of capital).
- Difficult to compare mutually exclusive projects of different sizes/lives using absolute NPV alone.

(B) Internal Rate of Return (IRR) Method

IRR is the discount rate at which the present value of cash inflows exactly equals the present value of cash outflows, i.e. the rate at which NPV = 0.

$$\Sigma \left[CF_t / (1+r)^t \right] = \text{Initial Investment} \quad (\text{solve for } r = \text{IRR})$$

IRR is usually found by trial-and-error / interpolation:

$$IRR = LR + \left[\text{NPV at LR} / (\text{NPV at LR} - \text{NPV at HR}) \right] \times (HR - LR)$$

Where LR = lower discount rate (with a positive NPV), HR = higher discount rate (with a negative NPV).

Decision Rule: Accept the project if IRR > cost of capital (k); reject if IRR < k. Among mutually exclusive projects, select the one with the higher IRR (provided it exceeds the cost of capital).

Merits

- Considers time value of money and total cash flows over the project's life.
- Expressed as a percentage — intuitively easy to compare with the cost of capital.

Demerits

- Calculation is tedious (trial and error) without a financial calculator/spreadsheet.
- May give multiple or no real IRR when cash flow signs change more than once (unconventional cash flows).
- Assumes intermediate cash inflows are reinvested at the IRR itself, which may be unrealistic.

NPV vs. IRR — Ranking Conflicts

NPV and IRR usually give the same accept/reject decision for independent, conventional projects. However, for mutually exclusive projects, they can conflict due to differences in the size, timing pattern, or life of the projects, and differing reinvestment rate assumptions (NPV assumes reinvestment at cost of capital, IRR assumes reinvestment at IRR itself). In case of conflict, the NPV method is theoretically preferred because it directly measures the addition to shareholders' wealth.

4.4 Practical Applications / Comparison Table

Method	Considers Time Value?	Basis	Decision Rule
Payback Period	No (simple version)	Cash flow / liquidity	Accept if payback < standard period
ARR	No	Accounting profit	Accept if ARR > cut-off rate
NPV	Yes	Cash flow (discounted)	Accept if NPV > 0
IRR	Yes	Cash flow (discounted)	Accept if IRR > cost of capital

UNIT V : FINANCING DECISION

5.1 Making Capital Structure Decisions

Capital structure refers to the mix (proportion) of long-term sources of funds — mainly debt and equity — used by a firm to finance its assets and operations. The financing decision involves determining the optimum capital structure, i.e. the mix that minimises the overall cost of capital and maximises the value of the firm.

Factors affecting Capital Structure decisions

- Cost of capital of each source of finance.
- Risk — financial risk increases with higher debt (fixed obligation of interest).
- Control — issuing more equity may dilute existing owners' control.
- Flexibility — ability to raise/alter funds as needed in future.
- Cash flow ability of the firm to service fixed charges (interest and principal).
- Nature of industry, size and stability of the firm, and market conditions.

5.2 Concept of Leverage

Leverage refers to the use of fixed-cost sources of funds or fixed-cost assets to magnify the returns to the owners (equity shareholders). It arises because the firm has fixed obligations — fixed operating costs or fixed financial charges — that do not vary in proportion to sales/output.

(A) Operating Leverage

Operating leverage results from the existence of fixed operating costs in the firm's cost structure. It measures the sensitivity of EBIT (Earnings Before Interest and Tax) to a change in sales.

Degree of Operating Leverage (DOL) = Contribution / EBIT

Also: DOL = % Change in EBIT / % Change in Sales. Where Contribution = Sales − Variable Cost; EBIT = Contribution − Fixed Cost.

A high DOL indicates that a small change in sales will produce a larger percentage change in EBIT — i.e. higher business/operating risk.

(B) Financial Leverage

Financial leverage results from the presence of fixed financial charges (interest on debt, preference dividend) in the firm's capital structure. It measures the sensitivity of EPS (Earnings per Share) to a change in EBIT.

Degree of Financial Leverage (DFL) = EBIT / (EBIT − Interest)

Also: DFL = % Change in EPS / % Change in EBIT.

A high DFL indicates greater financial risk — EPS becomes more volatile with changes in EBIT. Favourable financial leverage (also called 'trading on equity') occurs when the rate of return on investment exceeds the fixed cost of debt, thereby increasing the return to equity shareholders.

(C) Combined (Total) Leverage

Combined leverage measures the overall effect of both operating and financial fixed costs on EPS for a given change in sales.

$$\textit{Degree of Combined Leverage (DCL)} = \textit{DOL} \times \textit{DFL} = \textit{Contribution} / (\textit{EBIT} - \textit{Interest})$$

Also: DCL = % Change in EPS / % Change in Sales.

Example

Sales = 10,00,000, Variable Cost = 6,00,000, Fixed Cost = 2,00,000, Interest = 50,000.

Contribution = 10,00,000 − 6,00,000 = 4,00,000

EBIT = 4,00,000 − 2,00,000 = 2,00,000

DOL = Contribution/EBIT = 4,00,000/2,00,000 = 2

DFL = EBIT/(EBIT−Interest) = 2,00,000/1,50,000 = 1.33

DCL = DOL × DFL = 2 × 1.33 = 2.67

5.3 EBIT–EPS Analysis

EBIT-EPS analysis is a technique used to examine the effect of different financing plans (different debt-equity mixes) on the Earnings per Share (EPS) of the firm, at varying levels of EBIT. It helps management choose a capital structure that maximises EPS at the expected level of EBIT.

$$\textit{EPS} = (\textit{EBIT} - \textit{Interest}) \times (1 - \textit{Tax rate}) / \textit{Number of Equity Shares}$$

If preference dividend is also paid:

$$\textit{EPS} = [(\textit{EBIT} - I)(1 - t) - \textit{Preference Dividend}] / \textit{Number of Equity Shares}$$

Indifference Point (Point of Indifference / Break-even EBIT)

The Indifference Point is the level of EBIT at which the EPS is the same under two different financing plans (e.g., all-equity vs. debt-equity mix). It helps in deciding which financing plan is favourable at a given expected level of EBIT.

$$(\textit{EBIT} - I_1)(1-t)/N_1 = (\textit{EBIT} - I_2)(1-t)/N_2$$

Where I_1, N_1 and I_2, N_2 are the interest and number of equity shares under Plan 1 and Plan 2 respectively.

- If the expected EBIT is above the indifference point, the plan with higher debt (financial leverage) yields a higher EPS — debt financing is preferable.

- If the expected EBIT is below the indifference point, the plan with lower debt (more equity) yields a higher EPS — equity financing is preferable.

5.4 Cash Flow Ability to Service Debt

Besides EBIT-EPS analysis (which is based on accounting profit), a firm must also examine its ability to generate sufficient cash flow to meet fixed financial obligations — interest and principal repayment — especially in adverse conditions. This is assessed using coverage ratios:

Interest Coverage Ratio = EBIT / Interest

Debt Service Coverage Ratio (DSCR) = (Net Profit after Tax + Interest + Depreciation) / (Interest + Principal Repayment Instalment)

A higher coverage ratio indicates a greater cushion/ability of the firm to service its debt obligations comfortably, even if profits decline. Lenders typically require a minimum DSCR before extending long-term loans.

5.5 Pecking Order of Financing (Pecking Order Theory)

The Pecking Order Theory (Myers and Majluf) suggests that firms do not have a fixed target capital structure; instead, they follow a hierarchy (pecking order) of preference when choosing sources of finance, driven mainly by information asymmetry and the desire to minimise signalling costs.

The order of preference is generally:

- 1. Internal Sources first — retained earnings/internal accruals (no information asymmetry, no issue/flotation cost, no dilution of control).
- 2. Debt next — if external finance is needed, firms prefer safe debt first (issuing debt signals confidence, as it does not dilute ownership and is senior in claim).
- 3. Hybrid securities — such as convertible debentures, next in order.
- 4. Equity (new share issue) as the last resort — since issuing new equity is often perceived by the market as a signal that shares are overvalued, causing a fall in share price.

Note: *Pecking order theory explains why profitable firms often use less debt — not because they have a low target debt ratio, but because they generate enough internal funds and do not need much external financing.*